

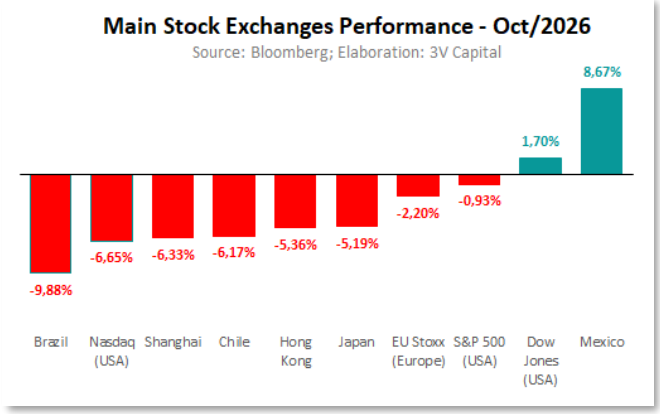
Economic Letter

October/2026

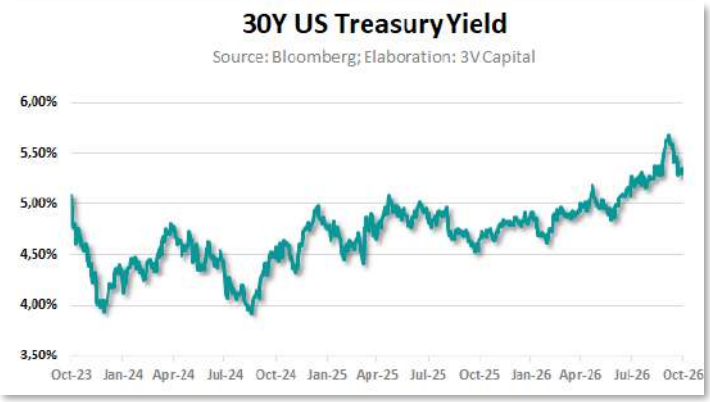
3V capital
Gestão de Recursos

External Scenario

October was marked by persistent geopolitical tensions in the Middle East and growing concern over the path of US interest rates, in an environment of greater caution. The war between the United States and Iran remained without a definitive resolution, with new attacks on Saudi facilities and restrictions on navigation through the Strait of Hormuz. Although oil flows proved resilient, supported by the use of alternative routes, the risk of further disruptions kept Brent above US$100 per barrel for much of the month, reinforcing concerns about global inflation and limiting the room for less restrictive monetary policy in the main economies.



In the United States, economic indicators continued to point to resilient activity, accompanied by persistent inflationary pressure. The Fed's main price gauge, the PCE[1], confirmed a picture of still-elevated inflation, with the headline measure rising 3.6% over 12 months. The combination of robust growth and stubborn inflation kept investors cautious about the path of interest rates, even in the face of occasional signs of cooling in the labor market.



In this environment, the Federal Reserve held its policy rate in the 3.75% to 4.00% per annum range, as expected, but kept open the possibility of further tightening in December. The statement took a more hawkish tone in acknowledging the strength of the economy and the persistence of inflation, although Kevin Warsh offered a more balanced assessment at the press conference, highlighting the effects of restrictive monetary policy already observed. Even so, market expectations remained centered on another 0.25 bps hike before year-end. The prospect of higher-for-longer rates continued to pressure Treasury yields and to tighten global financial conditions, especially for emerging economies.

Beyond interest rates, the sustainability of artificial intelligence investment gained weight in market assessments. The rapid expansion of spending on technology infrastructure, accompanied by growing volumes of financing, began to raise doubts about the ability of large companies to convert this investment into cash generation and commensurate returns. Although technological progress continues to support favorable long-term growth prospects, investors showed greater concern about elevated valuations and the risk of a sharper correction in the sector's stocks, particularly in a scenario of persistently high cost of capital.

Outside the United States, the Chinese economy showed signs of greater resilience. GDP grew 4.5%

year over year in the third quarter, while industrial production, retail sales and foreign trade posted favorable results. In Europe, on the other hand, concern over inflation stemming from the energy shock remained on the European Central Bank's radar; the ECB held rates in October but kept the possibility of further tightening on the table. This picture reinforces the view that global monetary policy will remain conditioned on the evolution of energy prices and on economies' ability to absorb the shock without compromising price stability.

Looking ahead, the evolution of the conflict in the Middle East remains a significant risk factor for inflation and global markets. An eventual normalization of relations between Washington and Tehran could reduce the premiums embedded in oil and ease part of the pressure on central banks. On the other hand, the persistence of the energy shock, combined with the resilience of US activity and the risks associated with artificial intelligence investment, calls for caution. In this context, the path of US interest rates and the behavior of Treasuries will remain decisive for global risk appetite and for flows into emerging markets.

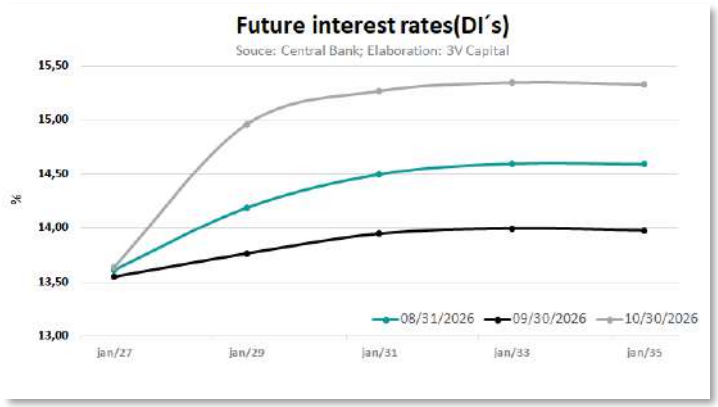
[1]PCE: The US personal consumption expenditures price index.

Domestic Scenario

In the local market, October brought one of the sharpest reversals in expectations in recent years, after the outcome of the presidential election profoundly changed investors' perception of the direction of economic policy. Flávio Bolsonaro's first-round victory sparked strong optimism, underpinned by the prospect of a change in power and a more austere fiscal agenda. The move took the Ibovespa above 200,000 points, drove a significant appreciation of the real and compressed risk premiums along the yield curve. Lula's re-election in the runoff, however, surprised the market and triggered a rapid unwinding of the positions built over the preceding weeks.



The reaction in assets was particularly intense. In the first trading session after the runoff, the Ibovespa triggered its circuit breaker[2] for the first time since the pandemic, while the dollar surged and rate futures rose sharply, especially at the longer maturities. The stress led the National Treasury to carry out extraordinary interventions in the government bond market, with buyback auctions and the cancellation of regular offerings. Although part of the moves was later corrected, the episode highlighted how sensitive Brazilian assets are to expectations about the conduct of fiscal policy. Between the record set after the first round and the end of October, the Ibovespa lost roughly 41,000 points, reflecting both the unwinding of election positions and a higher perception of risk for the coming years.



Once the initial reaction had passed, the market turned its attention to the formation of the economic team and to the re-elected government's ability to present a credible strategy to stabilize public debt. The makeup of Congress, with a stronger opposition presence, also added uncertainty about the political coordination needed to pass reforms. In this scenario, the possible appointment of Rafael Fonteles as Finance Minister was received as a potentially favorable signal for fiscal discipline, though nothing has yet been confirmed. More than the choice of names, investors are waiting for measures that demonstrate an effective commitment to spending control and to the sustainability of the public accounts.

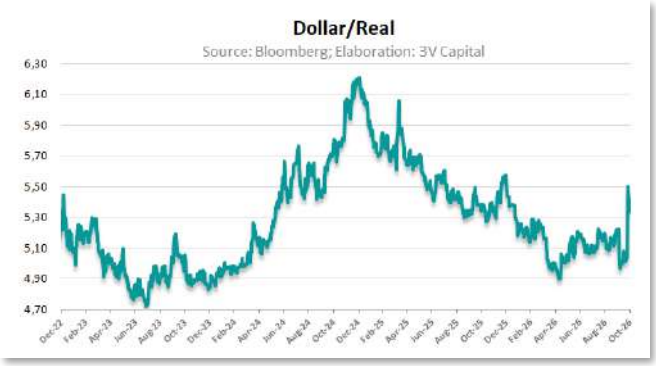
Fiscal concern gained additional weight given the growth in mandatory spending and the measures approved or announced during the election period. The reduction of the maximum working week from 44 to 40 hours, with no pay cut, raised questions about its impact on production costs, productivity and inflation. Also adding to the discomfort were the expansion of benefits for individual microentrepreneurs (MEIs) and the proposal for free public transportation on weekends and holidays. Although the government argues for offsetting mechanisms for part of these initiatives, the package reinforced doubts about the capacity to accommodate new spending in an already highly rigid Budget.

The deterioration of the public accounts therefore remains the main economic challenge of the next term. Gross debt reached 82.9% of GDP, while the nominal deficit reached 9.5% of GDP in the 12 months through September. Spending growing faster than the economy and persistently high real interest rates raise the government's financing costs and make debt stabilization harder. In response to the markets' negative reaction, the economic team began discussing measures to reinforce its commitment to the 2027 primary surplus target of 0.5% of GDP, as well as possible changes to the rules governing the growth of mandatory spending. The effectiveness of these proposals, however, will depend on their implementation and on the government's ability to build political support for potentially unpopular measures.

This shift in perception also significantly changed expectations for monetary policy. Before the runoff, the market was largely working with a continuation of the Selic cutting cycle, with two additional 0.25 bps reductions by December. After the election, the currency depreciation, the widening of risk premiums and the prospect of more stubborn inflation reduced the room for further cuts. Holding the Selic at 13.75% became the main bet for the remaining meetings of the year, while some market participants began to consider the possibility of a new tightening cycle in 2027. The move represents a significant change from the previous scenario, in which a gradual slowdown in activity and improving inflation supported expectations of further easing.

The exchange rate came to reflect this deterioration in expectations, with a sharp rise in the dollar after the election result. Although Brazil's external fundamentals remain relatively favorable, supported by its position as a net oil exporter and by improved terms of trade, the higher domestic risk premium and the prospect of

higher-for-longer US rates began to exert greater influence on the currency. The depreciation of the real, in turn, adds a source of pressure on inflation, especially in a context of a possible withdrawal of fuel subsidies and climate risks associated with El Niño.



In equities, the sharp post-election correction reflected not only heightened fiscal concerns but also the rapid unwinding of positions betting on a change of government. Foreign investor outflows deepened the losses, while the market began to reassess the outlook for corporate earnings in an environment of potentially higher interest rates and more moderate economic growth. Despite the size of the decline, a more consistent recovery will depend on concrete signals on economic policy capable of reducing risk premiums and restoring investor confidence.

Looking ahead, the definition of the economic team and the presentation of a consistent fiscal plan will be decisive for the path of Brazilian assets. A convincing signal of commitment to spending control and debt stabilization could favor a recovery of the real, lower long-term rates and renewed interest in domestic equities. Conversely, the absence of concrete measures tends to keep premiums elevated, hinder the continuation of the Selic cutting cycle and undermine growth prospects. In this environment, the credibility of fiscal policy will be essential not only for the recovery of markets but also to allow a sustainable path of lower interest rates in the years ahead.

[2]Circuit breaker: A protective mechanism that temporarily halts stock exchange trading in the event of sharp declines, to contain panic-driven moves.

Indicators - returns (%)				
Rate/Index	Sep-26	Oct-26	2026	Last 12 m
CDI	1,08%	1,07%	11,70%	14,31%
Dollar (Ptax-V)	-0,01%	4,64%	-1,48%	0,67%
Ibovespa	5,03%	-9,88%	4,22%	12,87%
IMA-B	3,15%	-1,03%	8,98%	11,77%
IPCA	0,72%	0,21%	4,17%	4,71%
IRF-M	2,09%	-1,52%	7,63%	10,07%
S&P 500	-0,45%	-0,93%	10,73%	11,11%
Euro Stoxx	-2,37%	-2,20%	5,78%	7,58%
MSCI Emerging	-0,84%	-8,11%	11,55%	10,98%

*IPCA for the month that has just ended refers to ANBIMA's projection

Disclaimers

This presentation was prepared by 3V CAPITAL GESTÃO DE RECURSOS ("3V CAPITAL") and may not be reproduced or distributed to third parties, in whole or in part, without the prior written consent of its representatives. The information contained herein was obtained from market sources considered reliable. Although 3V CAPITAL believes such sources to be reliable, it does not guarantee that the information collected is accurate or complete. The opinions, estimates, and investment views expressed in this presentation exclusively reflect the views of 3V CAPITAL's representatives, are based on current market conditions, and may not be appropriate for the interests of all investors, which should be assessed on an individual basis.